Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION APRIL 2017

CM408 – CORPORATE ACCOUNTING - II

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Define goodwill.
2. What is 'yield value' of shares?
3. What is Purchase consideration?
4. What do you mean by Intrinsic value?
5. What is Liquidation of a Company?
6. Write a note on Contributory.
7. Write short note on 'Minority Interest.
8. What do you understand by Capital Profit?
9. What do you understand by 'Contingent Liability'?
10. Write short note on 'Non Banking Assets'.

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. The Profits of Thilaga Ltd., For the last 5 years were as follows.

Year	Rs.
2010	15,000
2011	18,000
2012	22,000
2013	25,000
2014	27,000

Compute the Goodwill of Thilaga Ltd. On the basis of 4 years purchase of weighted average profit after assigning weights 1,2,3,4 and 5 serially to the profits.

12. The following is the Balance Sheets of K.R. Ltd. as on the date of its acquisition by S.R. Ltd.

Liabilities	Rs	Assets	Rs
Share capital	8,00,000	Goodwill	2,00,000
General Reserve	2,00,000	Land & Building	5,00,000
Creditors	3,00,000	Plant & Machinery	3,00,000
Employees Provident Fund	2,00,000	Stock	1,00,000
		Debtors	1,50,000
		Cash Bank	2,50,000
	15,00,000		15,00,000

On the date of its acquisition, goodwill is valued at Rs. 3,00,000, Land & Building at Rs. 7,00,000, Plant & Machinery at Rs. 2,00,000 and Stock at Rs. 75,000. All assets and liabilities are taken over. Calculate the amount of purchase consideration.

13. Senu Ltd. went into liquidation with the following Assets liabilities.

Liabilities	Rs	Assets Realised	Rs
Preferential Creditors	10,000	Land & Buildings	20,000
Unsecured Creditors	32,000	Machinery	18,650
Debentures	10,000	Furniture	1,000
Liquidation Expenses	1,000		

Liquidator's remuneration is 2% on assets realized and 2% on amount distributed to unsecured creditors other than preferential creditors.
Prepare liquidator's final statement of Account

14. a) The Vin Co. Ltd. acquired 18,000 Equity shares in the Star Co. Ltd. on 31-12-1986. On this date, the Balance Sheets of the two companies were:

Liabilities	Vin Ltd. (Rs.)	Star Ltd. (Rs.)	Assets	Vin Ltd. (Rs.)	Star Ltd. (Rs)
Share Capital (Equity shares of Rs. 10 each)	4,00,000	3,00,000	Sundry Assets	3,10,000	3,20,000
			Investment in Shares of Star Ltd	1,80,000	----
P &L A/c	80,000	----			
Creditors	10,000	20,000			
	4,90,000	3,20,000		4,90,000	3,20,000

Prepare the consolidated Balance Sheet.

15. The following balances have been extracted from the books of banking company as on 31st march 2014

		Rs.
Bad debts	-	5,00,000
Advances	-	74,50,000
Profit before charging bad debts	-	21,50,000
Required provision for bad debts	-	7,00,000
Provision for Taxation to be made	-	40% of Net Profit

Show how the above items will appear in the banking company's Profit and Loss Account and Balance Sheet.

16. Describe the different modes of Winding up of a Company.
17. Explain the different steps involved in the preparation of the Consolidated Balance Sheet.

SECTION – C (3X10=30)

Answer any **THREE** Questions

18. The following is the Balance Sheet of Ram Ltd. as on 31-12-2015

Liabilities	Rs.	Assets	Rs.
Share capital		Goodwill	70,000
1,000 6% Pref. Shares of		Plant & Machinery	1,50,000
Rs. 100 each fully paid	1,00,000	Other Assets	3,25,000
3,000 Equity Shares of		Preliminary expenses	30,000
Rs. 100 each fully paid	3,00,000		
General Reserve	30,000		
5% Debentures	50,000		
Sundry Creditors	95,000		
	5,75,000		5,75,000

i) Plant & Machinery is to be depreciated by Rs. 18,000.
ii) Goodwill is to be valued on the basis of average profit of the last five years. The profit for the last five years were Rs. 74,000; Rs. 78,000; Rs. 75,000; Rs. 77,000 and Es. 76,000.
iii) The debenture interest is owing for the year.
Find out the value of Equity Share.

19. A Ltd. Sells its business to B Ltd. as on 31st December 2015 on which date its Balance Sheet was as under.

Liabilities	Rs.	Assets	Rs.
Paid up capital		Goodwill	80,000
4,000 shares of Rs. 100 each	4,00,000	Buildings	3,20,000
Debentures	2,40,000	Machinery	2,60,000
Trade creditors	80,000	Stock	50,000
General Reserve	80,000	Debtors	56,000
P & L A/c	30,000	Cash	64,000
	8,30,000		8,30,000

B Ltd. agreed to take over the assets exclusive of cash and goodwill at 10% less than the book value and to pay Rs. 1,20,000 for Goodwill. The purchase consideration was to be discharged by the allotment of 4,000 shares of Rs. 100 each at a premium of 10% and the balance in cash. The cost of liquidation amounted to Rs. 8,000. Show the necessary accounts in the books of the companies.

20. X Ltd. was liquidated on 31-12-2014

Balance Sheet as on 31-12-2014

Liabilities	Rs.	Assets	Rs.
Share capital	1,90,000	Land & Buildings	60,000
8% Debentures	10,000	Plant & Machinery	60,000
Mortgage loan (Secured on buildings)	50,000	Stock	60,000
Sundry creditors	80,000	Debtors	70,000
		Cash	5,000
		Profit & Loss A/c	75,000
	3,30,000		3,30,000

Assets realized were:
a) Land & Building Rs. 55,000
b) Stock Rs. 20,000
c) Plant & Machinery Rs. 25,000
d) Half of the debtors were bad and the balance realized 60% of the book value.

Liquidator was entitled to a commission of 3% on the amounts realized other than cash and 2% on the amount paid to unsecured creditors. Preferential creditors amounted Rs. 10,000 (included in sundry creditors). Liquidation expenses were Rs.970.

Prepare Liquidator's final statement of account.

21. From the Balance Sheets given below, prepare the Consolidated Balance Sheet as on 31-12-2001.

Liabilities	H Ltd (Rs.)	S. Ltd (Rs.)	Assets	H Ltd (Rs.)	S. Ltd (Rs.)
Shares @ Rs.10	5,00,000	1,00,000	Fixed Assets	4,00,000	60,000
P & L A/c	2,00,000	60,000	Stock	3,00,000	1,20,000
Reserves	60,000	30,000	Debtors	75,000	85,000
Bills payable	---	15,000	Bills Receivable	20,000	
Creditors	1,10,000	60,000	Shares in S Ltd. 7,500 at cost	75,000	----
	8,70,000	2,65,000		8,70,000	2,65,000

Other informations

a) The bills accepted by S Ltd. are all in favour of H Ltd.

b) The stock of H Ltd. Includes Rs. 25,000 bought from S Ltd. at a profit to latter of 20% on sales.

c) All the profits of S Ltd. has been earned, since the shares were acquired by H Ltd. but there was already the reserve of Rs. 30,000 on that date.

22. The Balances extracted from the books of the Punjab National Bank Ltd. on 31-03-2013 were as under.

	Rs
Paid up capital	10,00,000
Local bills discounted	9,00,000
Reserve Fund	3,85,000
Cash credit and O.D	14,00,000
Unclaimed dividend	5,000
Loans	23,00,000
Current and SB deposits	25,00,000
Furniture	20,000
Fixed deposits	12,00,000
Recurring deposits	8,00,000
P & L A/c (Cr.)	1,10,000
Stock of stamps	5,000
Cash in hand	2,50,000
Cash at bank	6,50,000
Investments (at cost)	4,75,000

The directors require the banks investments to be shown in the Balance Sheets at market value on 31-03-2013 which is Rs. 5,25,000. The authorised capital of the bank is Rs. 12,00,000. The bank has Rs. 50,000 bills for collection and has accepted bills for customers for Rs. 4,00,000. Liability on bills of exchange rediscounted amounts to Rs. 2,00,000.

Prepare the Balance Sheet of the bank as on 31-03-2013 in the form prescribed under the Banking Companies Act.

****